CERNO GLOBUS

FIELD INTELLIGENCE

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Building & Mechanical

HVAC · Plumbing · Electrical · Solar & Storage · Commercial Refrigeration

Five trades, one publication. Every item is something that moves a number on your P&L, changes what you must do by law, or changes what parts and labor cost you.

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Read it online
This issue, and every one before it

MONEY

HVAC manufacturers moved October 9 to dismiss price-fixing class actions alleging they coordinated equipment increases since January 2020, including a class of commercial indirect purchasers.

On October 9, the manufacturers sued in In re HVAC Equipment Antitrust Litigation moved to dismiss the price-fixing class actions with prejudice, ACHR News reported October 14. Bosch, Carrier, Daikin, Lennox, Rheem, Trane and AAON were named in a joint filing, and Mitsubishi Electric Trane HVAC US filed its own. The case is in the Eastern District of Michigan. The court has not ruled.

Plaintiffs allege the defendants hold more than 90% of the U.S. HVAC equipment market and coordinated increases from January 2020 through public announcements, earnings-call remarks and AHRI member-only data. Three sets of class actions are pending: direct purchasers, commercial indirect purchasers and end-user indirect purchasers. Facilities Dive reports a separate proposed class action was filed by the owner of an HVAC contracting company.

The defendants say matching increases reflect independent responses to costs: pandemic supply disruption, SEER2 efficiency standards, the AIM Act refrigerant transition and tariffs on steel, aluminum and copper. They say no complaint alleges direct communication showing an agreement. The defendants cite announced increases of 87% over ten Lennox adjustments and 115% over 15 Trane commercial adjustments; ACHR notes they are announced adjustments, not independently verified price changes or compounded growth.

Plaintiffs call the cost explanations pretextual and say increases outpaced general inflation and household-appliance prices. Facilities Dive reports the consumer complaint says prices exceeded by 8% what some 20 cost variables, such as copper, aluminum and labor, would have justified. The defendants answer that appliance makers did not face the same efficiency rules or tariffs, so appliances are the wrong comparison.

What to do about it: No ruling has issued and no defendant has been found liable, so do not reprice or change suppliers on the strength of the filings. Pull your purchase records from January 2020 forward for condensers, heat pumps, furnaces, air handlers, rooftop units and VRF, by supplier and invoice date, and ask your distributor in writing how long it keeps your pricing history. Do not trade price intentions with other contractors or circulate manufacturer price letters outside your office; the complaints rest on that kind of signaling. If you want to join or opt out of a class, wait for a court-approved notice rather than a law-firm intake call, and have your own counsel read it. The docket is No. 2:26-cv-10949 in the Eastern District of Michigan.

ACHR News: manufacturers seek dismissal (Oct 14) · Facilities Dive: makers ask judge to drop case (Oct 19) · Hagens Berman: HVAC price-fixing class action page

HVAC

TWO ITEMS

DEMAND

HARDI distributors' sales rose 7.6% in August, after 6.7% in July, the best back-to-back months since late 2022, helped by warmer-than-normal temperatures.

Why it matters: HARDI's August report, released October 13, shows sales at participating distributors up 7.6% in August, after 6.7% in July. HARDI's analyst called July and August the best back-to-back growth since late 2022 and said the gain was helped by warmer-than-normal temperatures, against below-normal temperatures in most regions last August. Distributor days sales outstanding stayed under 37 days. Plan fall heating stock from your own backlog. Ask your counter for price-protection dates and payment terms in writing before the next increase letter arrives.

ACHR News: best back-to-back months in 4 years (Oct 13) · HARDI: July 2026 sales report (Sept 1)

SUPPLY

Robert Madden Industries bought Shore Distributors in September, combining two HVAC distributors across Maryland, Delaware and Virginia, and over 80% of contractors surveyed by HARDI like one-supplier buying.

Why it matters: ACHR News reported October 23 on distributor consolidation: Robert Madden's purchase of Shore Distributors brings together two HVAC distributors in Maryland, Delaware and Virginia. Cummins-Wagner closed on Syracuse Thermal Products September 16, and Watsco, which bought Jackson Supply June 1, has acquired 73 businesses since 1989. More than 80% of respondents to HARDI's Voice of Contractor survey found buying most materials from one supplier somewhat or very appealing. Compare your top 20 items across two suppliers now, and log any change in price, availability or delivery since your branch changed hands.

ACHR News: HVAC distributor consolidation (Oct 23)

PLUMBING

TWO ITEMS

REGULATION

IAPMO published IAPMO/ANSI/CAN Z1403-2026, the Water Demand Calculator, as an American National Standard for sizing service lines, mains, risers and branches in residential buildings.

Why it matters: IAPMO announced October 15 that Z1403-2026, a statistical method for estimating peak water demand in single-family and multifamily buildings, is published as an American National Standard. It was developed because traditional sizing methods rely on assumptions dating to the 1940s, and it is already in the Uniform Plumbing Code and WE-Stand. Before you downsize a supply line on this method, get your building official's acceptance in writing and keep the calculation in the permit file.

PHCPPros: IAPMO announces Z1403-2026 (Oct 15) · Plumbing & Mechanical: Z1403-2026 published (Oct 16)

MONEY

Six distributors, including Ferguson, Core & Main and Hajoca, remain named as alleged co-conspirators in the PVC pipe price-fixing case, which has drawn proposed settlements of about $415.4 million.

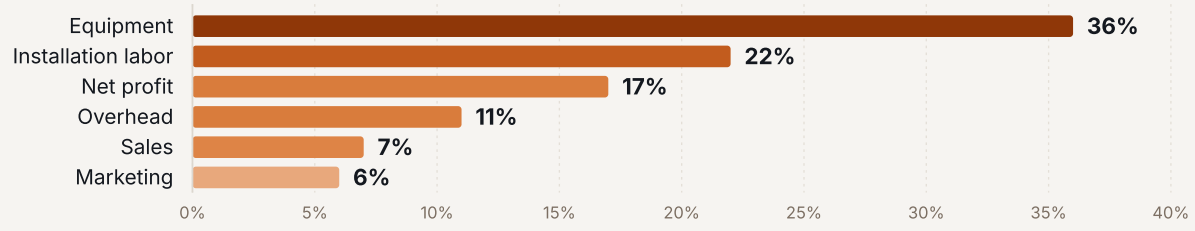
Why it matters: Plumbing & Mechanical reported September 24 that Core & Main, Ferguson Enterprises, Fortiline Waterworks, Hajoca, Porter Pipe & Supply and United Pipe & Steel are named as alleged co-conspirators, not defendants, in the PVC pipe case in the Northern District of Illinois; they were named in an amended complaint filed August 18, 2025. Plaintiffs allege they control more than 70% of direct PVC pipe purchases. NextMSC reported October 14 that proposed settlements with manufacturers and OPIS total about $415.4 million, some awaiting court approval, and that a DOJ grand jury probe remains pending as of October 2026. If you buy PVC pipe, conduit or fittings, keep invoices by supplier and date; settlement notices define who qualifies.

Plumbing & Mechanical: six distributors named (Sept 24) · NextMSC: PVC antitrust battle and EPA pipe mandate

INFOGRAPHIC 1 / SOLAR CONTRACTOR COSTS

Equipment and installation labor take 58 points of a residential solar contractor's cost structure, against 17 for net profit.

Contractor cost structure, percent, EnergySage 23rd Home Electrification Marketplace Report (first half 2026, released September 30), as summarized by Mercom India, October 6, 2026. The six shares sum to 99.



Equipment (36) and installation labor (22) together take 58 points, against 17 for net profit. A 3-point rise in equipment cost would take roughly 18% of that profit. The same report finds 74% of contractors paying higher labor rates and median battery prices up 9% in a year. Price new quotes off today's equipment invoices, not last quarter's. Mercom: US residential solar prices rise 3% (Oct 6)

ELECTRICAL

TWO ITEMS

REGULATION

Rep. Rob Menendez introduced H.R. 10851 on October 19, the first national plug-in solar bill, covering devices of 1,200 watts or less that connect to a standard 120-volt outlet.

Why it matters: H.R. 10851 would require plug-in devices to meet NEC standards and carry UL or equivalent certification, add a power control system above 400 watts AC, and bar landlords from blocking tenants. A DOE rebate of up to $1,000 for lower-income households would require 55% U.S. content. pv magazine says the bill will not be considered until after the pre-election recess ends in mid-November, leaving few days before the session ends January 3, 2027. Ask your inspector and utility how plug-in devices are treated locally, and decide whether to price an outlet and circuit check as a service.

Solar Power World: plug-in solar bill introduced (Oct 23) · pv magazine USA: first national plug-in bill (Oct 21)

REGULATION

A solar and storage coalition told Virginia regulators it opposes the proposed Dominion-NextEra merger as filed and asked for automated interconnection and meter sockets that can avoid main service panel upgrades.

Why it matters: By October 20 the Storage and Clean Energy Coalition had filed testimony in Virginia opposing the proposed Dominion-NextEra merger as filed. It asks that residential and small commercial interconnection be automated and that meter sockets, which can avoid main service panel upgrades, be allowed. EnergySage's contractor survey puts main panel upgrades at a 25% typical margin and EV charger installs at 24%. If you quote panel upgrades on Dominion-area solar and battery jobs, count last year's jobs where the upgrade was needed only for interconnection; that is the revenue exposed.

Solar Power World: coalition opposes merger (Oct 20) · EnergySage: first-half 2026 market highlights

SOLAR & STORAGE

TWO ITEMS

MONEY

NeoVolta launched a tax-equity-backed third-party-ownership program for about 700 residential projects as 55% of installers in Aurora Solar's survey name TPO their leading financing option.

Why it matters: Solar Power World reported October 22 that NeoVolta is launching a TPO program for about 700 residential projects, and cited Aurora Solar's 2026 Solar Snapshot: 55% of installers call TPO their leading residential financing option. EnergySage found the share of installer quotes including TPO rose from about 14% to about 41% in the first half, though part of that reflects the option's recent arrival on its marketplace. The 25D credit ended for homeowner-owned systems after December 31, 2025; the 48E credit remains for the TPO owner. If you sell only cash and loans, get a TPO partner's installer terms, payment schedule and warranty duties before your next quote.

Solar Power World: NeoVolta third-party ownership (Oct 22) · EnergySage: 23rd Home Electrification Marketplace Report

DEMAND

Central Georgia EMC and Base Power plan up to 50 MW of customer-sited home batteries starting in 2027, each 39.2 kWh battery giving up to 36 hours of outage backup.

Why it matters: Utility Dive reported October 20 that Central Georgia EMC, serving 14 counties southeast of Atlanta, will deploy up to 50 MW of home batteries with Base Power, with deployment starting in 2027. The co-op will charge batteries when wholesale prices are low and discharge them at peak. Base's model typically installs at little or no direct cost to the homeowner, and Base installs and maintains its batteries. EnergySage reports storage attachment on installer quotes fell to 31% from 39% while median battery price rose 9% in a year to $1,130 per kWh. In co-op territory, ask whether a utility-run battery program is planned before it is announced.

Utility Dive: Georgia co-op plans 50-MW home batteries · Mercom: US residential solar prices rise 3% (Oct 6)

COMMERCIAL REFRIGERATION

TWO ITEMS

SUPPLY

A typical supermarket refrigeration system holds about 4,000 pounds of refrigerant and leaks an average 25% a year, roughly 1,000 pounds, as HFC supply tightens toward a 70% cut in 2029.

Why it matters: ACHR News (October 15), citing EPA's GreenChill program, puts a typical supermarket system at 4,000 pounds of refrigerant and an average 25% annual leak rate, about 1,000 pounds lost a year from one system. HFC production and consumption must fall 70% below baseline in 2029, and the article warns small independents are least able to absorb price spikes like Australia's, where HFC prices nearly tripled over a few years of shortage. Multiply charge by leak rate by a current per-pound quote from your wholesaler, and get that quote in writing.

ACHR News: supermarket refrigeration's challenges (Oct 15)

DEMAND

A Copeland and Henderson Engineers model found CO2 refrigeration heat recovery cut a 190,000-square-foot hypermarket's space-heating energy 53% and total energy 35% against a gas-heated R-448A system.

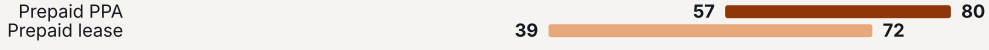
Why it matters: ACHR News reported October 16 that Copeland and Henderson Engineers modeled CO2 refrigeration heat recovery in a 57,000-square-foot supermarket and a 190,000-square-foot hypermarket across six U.S. climates. For the hypermarket, direct-air CO2 heat recovery with air-source heat pumps cut space-heating energy by 53% and total energy by 35% against an R-448A system heated with natural gas. The article's author is a Copeland executive. Ask any rack supplier pitching heat reclaim for a payback built on your last 12 months of gas bills, and for the controls it requires.

ACHR News: CO2 heat reclaim gains ground (Oct 16)

INFOGRAPHIC 2 / WHAT PREPAID SAVES

A prepaid PPA costs 57% to 80% less upfront per kWh than cash or a loan, and a prepaid lease 39% to 72% less.

Percent cheaper upfront cost per kWh than a cash purchase (low) and than a loan (high), EnergySage 23rd Home Electrification Marketplace Report, first half 2026, released September 30, as summarized by Mercom India, October 6, 2026.

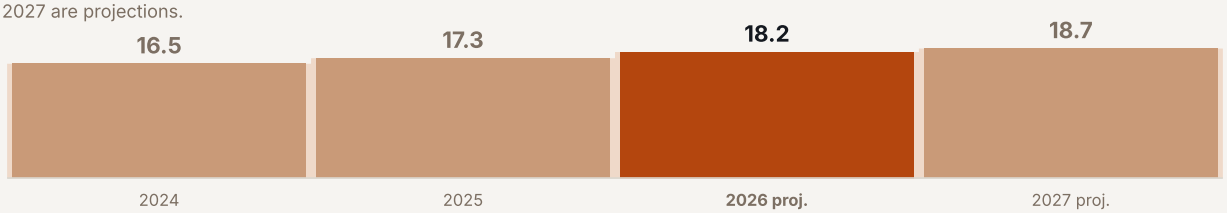


EnergySage measures a prepaid PPA at 57% less than cash and 80% less than a loan, and a prepaid lease at 39% less than cash and 72% less than a loan. Installers quoting third-party ownership went from about 14% to about 41% of quotes, partly due to TPO's recent availability on the marketplace. If your standard quote is a loan, expect a lease or PPA competitor to show a far lower upfront number beside it. Mercom: US residential solar prices rise 3% (Oct 6)

INFOGRAPHIC 3 / THE POWER BILL

EIA projects the average U.S. residential electricity price at 18.2 cents per kWh in 2026, up 5.2% from 17.3 cents in 2025.

Average residential electricity price, cents per kWh, annual, EIA Short-Term Energy Outlook released October 6, 2026; 2026 and 2027 are projections.



EIA has the residential price at 18.2 cents in 2026, up 5.2% from 17.3 in 2025, and 18.7 in 2027, another 2.7%. From 2024 that is a 13.3% rise by 2027. EIA also forecasts PJM wholesale prices up 41% in 2026, the largest of any region it covers. Rising rates support solar, storage and efficient-equipment pitches; quote paybacks on the 2027 price. EIA: Short-Term Energy Outlook, electricity (Oct 6)

THE BACKGROUND SIGNAL

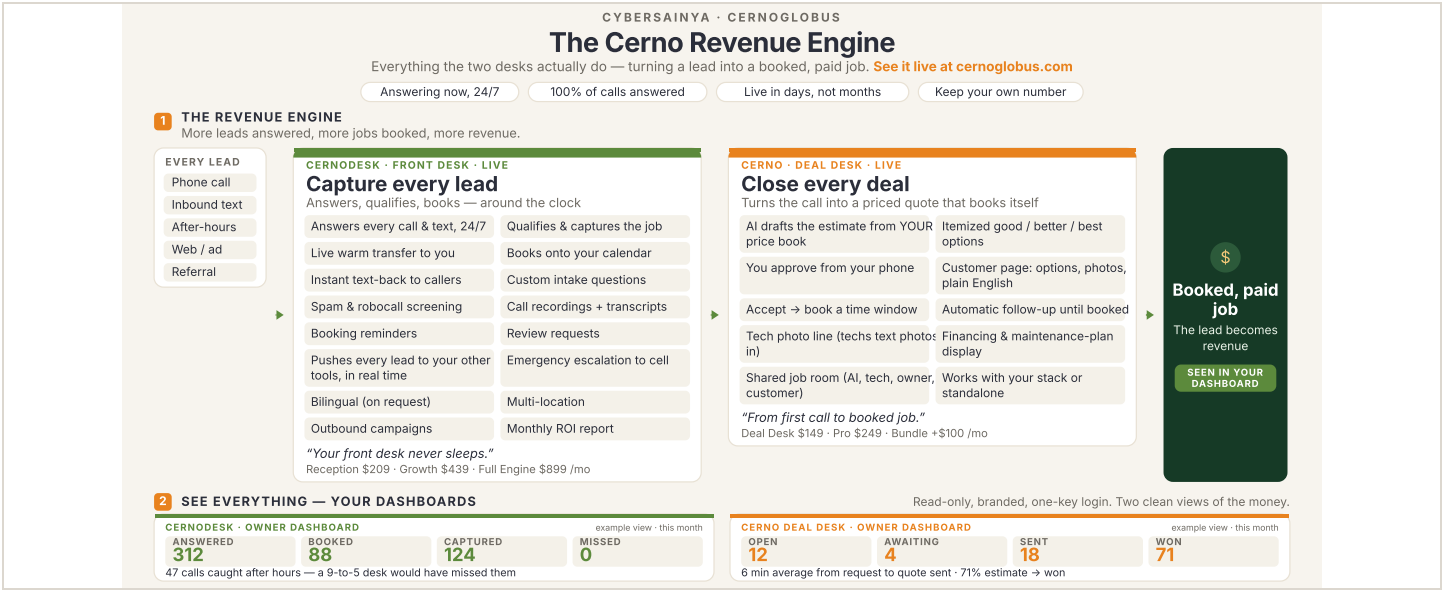
The fraud that reads your invoices before it sends one

The FBI's Internet Crime Complaint Center took 24,768 business email compromise reports in 2025, with losses of $3.05 billion — a record, after dipping to $2.77 billion in 2024 from $2.95 billion in 2023. Across all internet crime it logged 1,008,597 complaints and $20.88 billion in losses. Reported cases only, so read it as a floor.

Business email compromise, not ransomware, is the one that should concern a mechanical contractor. Someone gets into a mailbox, reads until they understand how you invoice and who pays you, then sends a real-looking progress billing with different bank details. No malware, no warning — just a payment that never arrives and an argument about who eats it. A trade that emails quotes, change orders and supplier invoices all day is the shape this is built for. The quieter number is adoption: under 20% of firms with fewer than 20 staff use AI at all.

What to do about it: You don't need a security program. You need multi-factor authentication on email and your accounting login, and one rule everybody follows: nobody changes bank details on the strength of an email or a call — you ring the number you already had on file and confirm. That covers most of it, and costs nothing. The part it doesn't — how the systems are set up — is the day job of our parent company, CyberSainya.

FBI Internet Crime Complaint Center, 2025 Internet Crime Report — reported cases only, rounded from $2,946,830,270, $2,770,151,146 and $3,046,598,558. U.S. Census Bureau, Business Trends and Outlook Survey, May 3, 2026.



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